

Basic price of a PC...

...is Rs 25,000 with the hard disk and mother board contributing over Rs 11,000 to this. Then there are accessories like CD ROM which drive up costs.

A market as large as...

...India should ideally enjoy economies of scale. Volumes, therefore, should drive prices down. In a price-sensitive market, players are out to break the barrier.

The price warriors are...

...therefore trying to deliver a system which is shorn of expensive frills but can yet work as a personal computer.

Intel's Rs 10,000 notebook-like product facilitates learning. Has a flash disk memory and a seven-inch screen.

Novatium's PC comes for Rs 4,500 and a monthly Internet subscription of Rs 400 that includes computing services.

Microsoft's Student Innovation Suite will be offered for \$3 to governments that buy and supply PCs directly to students.

MIT Media Lab's \$100 (Rs 4,000) laptop initiative could revolutionise how we educate our children.



four months ago with class VI students at Delhi Public School, Ghaziabad. Intel is also joining hands with Navodaya Vidyalaya Samiti (NVS), an autonomous organisation under the Ministry of Human Resource Development, and is donating 60 Classmate PCs to class VII students at NVS, Mothuka. The Classmate PC is expected to cost \$250 (Rs 10,000) by the year-end.

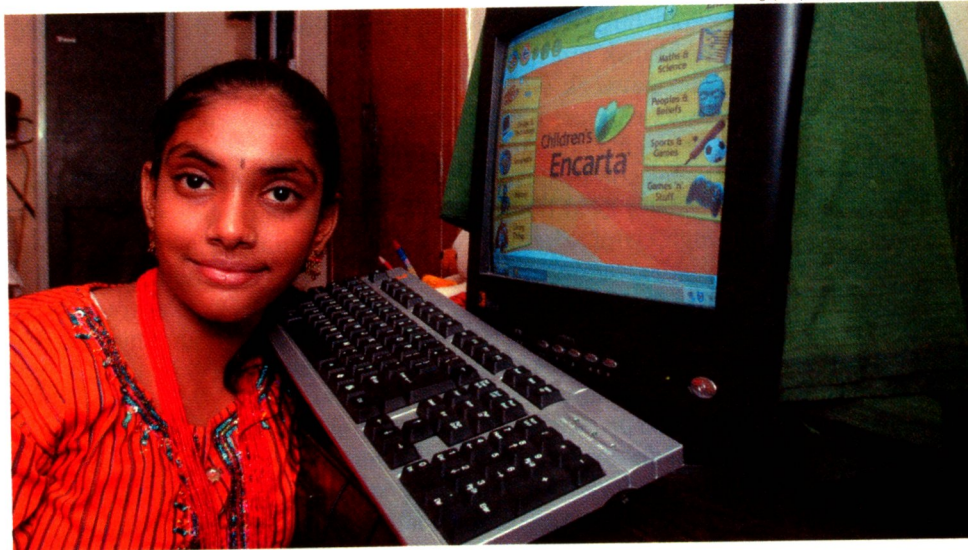
Not just the hardware players, software giant Microsoft is also working towards making computing affordable by reducing the cost of software. Intel is working closely with Microsoft and state and Central governments on the Peoples' PC programme so that attractive EMI options reduce the cost barrier to technology acquisition.

Under the company's global

upcountry segment, there aren't enough applications in regional languages for people to invest in a computer. The challenge of the PC market has been accepted by Novatium's Jain as an opportunity. His company seeks to take computing to masses by feeding the applications to the consumer as is the case with mobile phones. In order to achieve this, his company has chosen to address four key challenges—affordability, accessibility, manageability and usability.

By bringing down the basic cost of the computer to Rs 4,500, the upfront outgo has been reduced. However, the biggest challenge that faces the PC industry in India is usability and manageability. According to Piyush Pushkal, research analyst for computing prod-

Photographs by H.K. RAJASHEKAR



one PC for every 50 Indians. Contrast this with the mobile phone market, which is at 1,660 lakh today and is growing at a rapid clip of 30 per cent per annum. Jain calls this the "blue ocean opportunity".

Like Novatium, Intel too is running a pilot programme in India which is part of its World Ahead Program to improve education in developing countries. Under this it has launched Classmate PC, a notebook-like product, for Rs 10,000. This rugged and easy-to-carry device is equipped with software and hardware solutions that facilitate learning. Instead of a hard disk, the laptop has a flash disk memory and a seven-inch screen, which is guarded by a thick case and a body that has a protective bumper. The first pilot programme with Classmate PCs started

'Unlimited Potential' programme, Microsoft launched the Student Innovation Suite in April, which will be offered soon this year for \$3 (Rs 120) to qualifying governments that purchase and supply PCs directly to students. On the products front, Microsoft Windows Vista Starter Edition for India has also been specially designed to spur PC usage and is the cheapest Microsoft offering available today.

The magic price point obviously is in the region of Rs 7,000 to Rs 10,000, with both Novatium and Intel positioning the prices at under Rs 10,000 for both their products. However, the PC market in India has been stagnating for a while now in the absence of lack of drivers from the government and educational institutions and notebooks cannibalising the desktops. Also, in the

▲ **SIVAGANA SELVI, 13, SCHOOLGIRL.** With fewer hassles and a cheaper option, this Chennai girl's family is online at home for several hours everyday.

"As a family, now we spend a couple of hours on the computer everyday."

ucts at IDC, affordability is not the basic constraint before the PC market in India but the fact that there are no applications and content to drive the market. In China, for instance, the government has made the use of computers in education system imperative so the market there is growing much faster.

With inputs from IIT Chennai, Novatium's NetPC technology is based